

ECO4109Z (2025) Tutorial 1

Below is a new set of events for PB's second year of business. You should:
1. Prepare event summaries like those we reproduced earlier for Year 1 to:
a. Identify how assets and liabilities are affected by the event
b. Establish whether there is a change in equity, and if so, whether this change represents an item of income or expense
c. Identify the accounts affected by the event
d. Identify whether these accounts increase or decrease
2. Prepare the statement of financial position, statement of profit or loss and other comprehensive income and statement of cash flows ¹ for PB's Year 2.

Transactions in Year 2:

- PB pays the dividends of R200 that were declared at the end of Year 1.
- PB pays the R400 owed for electricity consumed during Year 1.
- PB borrows a further R950 from the bank.
- PB buys a second pizza oven for R1 500 cash.
- PB buys ingredients for R1 000 (half with cash and half on credit).
- PB makes and sells 200 pizza slices at R30 each (half with cash and half on credit). 6000
- PB receives R4 200 from debtors who bought pizzas in Year 1 and Year 2.
- PB pays suppliers of ingredients for all R400 of the ingredients purchased on credit in Year 1 and for R300 of the ingredients purchased in Year 2.
- PB pays the tax of R210 due for Year 1.
- At the year-end, ingredients at the cost of R100 are still on hand. 4/3
- PB pays salaries of R800.
- PB decides to use some of its surplus cash to repay R750 of the bank loan. The remaining balance of the loan is expected to be repaid in three years' time.
- At the end of the year, PB owes the power utility a total of R450 for electricity consumed during the year.
- Both pizza ovens are expected to last for a total of three years, after which they will be scrapped.
- At the year-end, PB receives R30 of interest on its bank account balance.
- At the year-end, PB pays the interest of R80 that the business owes for Year 2 on the loan.
- At the year-end, corporate income tax is due at a rate of 20% on profit before tax.
- At the year-end, the land has a market value of R4 800.
- At the year-end, dividends for the year of R300 (that is, R150 to each of the owners) are declared. These dividends will only be paid in the next financial year.

¹ We will only do the Statement of Cash Flows after we have done Chapter 5 *Cash Flows*. Please bring your attempt to this question with you to the third tutorial.

Year 1

Dr	CoS (P/L)	600	o/g + purch 800
			- <u>C/B</u> (200)
Cr	Invent. (A)	600	CoS 600

Year 2

	A	=	E	+	L
1.	- 200 (Bank)		0		- 200 (SH Divs)
2.	- 400 (Bank)		0		- 400 (elec. payable)
3.	+ 950 (Bank)		0		+ 950 (Loan)
4.	- 1500 (Bank) + 1500 (PPE)		0		0
5.	- 500 (Bank) + 1000 (Inventory)		0		+ 500 (Tr payable)
6.	+ 3000 (Bank) + 3000 (Tr. receivable)		+ 6000 (Sales)		0
7.	+ 4200 (Bank) - 4200 (Tr. rec)		0		0
8.	- 700 (Bank)		0		- 700 (Tr payables)
9.	- 210 (Bank)		0		- 210 (Tax payable)
10.	- 1100 (Inventory)		- 1100 (CoS)		0
11.	- 800 (Bank)		- 800 (Salaries)		0
12.	- 750 (Bank)		0		- 750 (Loan)
13.	0		+ 450 (electricity exp)		+ 450 (elec payable)
14.	- 900 (Acc. dep)		- 900 (CoS) ↳ since it's used for making pizza		0
15.	+ 30 (Bank)		+ 30 (interest inc.)		0
16.	- 80 (Bank)		+ 80 (interest exp)		0
17.			- 540 (inc. tax exp)		+ 540 (inc. tax. pay)
18.	- 200 (Land)		- 200 (Reval. loss) (OCI)		0
19.	0		- 300 (Div) come straight from E		+ 300 (SH Div.)

10.

o/b	200
+ purch	1000
- c/b	(100)
CoS	1100

14.

Yr 1	1200	Yr 1 R1200	Yr 2 R1500
Yr 2	1500	Yr 1: 400	Yr 2: 500
	2700 ÷ 3	2: 400	3: 500
	= R900 depreciation	2: 400	4: 500

18.

LAND

Yr 1 o/b	4500	↑500
c/b	5000	↓200
Yr 2	4800	

17.

SOCI

Sales	6000	}	profitability
CoS	(2000)		
GP	4000		
op. exp		}	operating
Salaries	(800)		
electricity	(450)		
op. profit	2150	}	Financing
i income	30		
i exp	(80)		
profit before tax	2100		
	× 20% = 540 (Tax)		

Diff btwn yr 1 & 2 in SoFP = SOCI
Assets (PPE): RE

o/b	5800
add.	1800
Reval.	(200)
acc. dep.	(900)
	6200

o/b	640
profit	2160
div declared	(300)
	2500

